



ALBERTSCHOOL



CORPORATE STRATEGY

Session 3: Market Entry

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Different types of Elasticity

Price Elasticity of Demand

$$e = \frac{\frac{\Delta Q}{Q}}{\frac{\Delta P}{P}} = \frac{\Delta Q}{\Delta P} \times \frac{P}{Q}$$

- **Negative (standard case)**
Price $\uparrow \rightarrow$ Quantity $\downarrow$ (law of demand)
- **Positive (exceptions):** Giffen or Veblen effects
- **Null (≈ 0):** Perfectly inelastic demand (life-saving drugs, monopolies, regulated goods)

Price elasticity can vary depending on market structure, consumer sensitivity to the brand (Net Promoter Score ($NPS = \%Promoters - \%Detractors$))

Income Elasticity of Demand

$$\epsilon_y = \frac{\% \Delta Q}{\% \Delta Income}$$

- **$\epsilon_y > 1$:** Superior / premium goods (luxury travel, high-end fashion)
- **$0 < \epsilon_y < 1$:** Normal goods (food, basic services)
- **$\epsilon_y < 0$:** Inferior goods (low-cost substitutes)

Cross Price Elasticity

$$\epsilon_{xy} = \frac{\% \Delta Q_x}{\% \Delta P_y}$$

- **Positive:** Substitutes (Ryanair vs easyJet)
- **Negative:** Complements (Printer & ink, console & games)

PRICING | TAXICO CASE



TaxiCo is a global ride-hailing company. In Vietnam, it faces strong competition:

- RideJoy: “premium” positioning (higher prices, better experience)
- VietCo: aggressive entrant (low prices to win market share)

TaxiCo wants to launch TaxiCo Basics:
smaller cars → lower fuel consumption → lower cost base.

Your mission: recommend a launch price per trip.

Data :

- Trips per day: 18
- Working days per month: 22
- TaxiCo price (current): 85k VND
- RideJoy price (premium): 88k VND
- VietCo price (aggressive): 75k VND

Cost item	Amount / month (k VND)
Fuel	15,840
Car rental	4,000
Highway fees	1,980
Other	1,100
Driver salary	4,500
Total	27,420

1. What is the cost per trip (break-even) for TaxiCo Basics? What price per trip gives TaxiCo a 20% margin on top of cost?

2. TaxiCo considers 2 launch prices, what's the best?

Option A: 75k VND (match VietCo); Option B: 90k VND (closer to premium)

Using elasticity (-1.2), estimate: expected trips per month under each option and monthly profit per driver under each option

Profit = (Price × Trips) – Total monthly cost.

E= demand variation (%) / price variation (%)

PRICING | TAXICO CASE

1. Cost-based pricing

Step 1: Monthly trips

$$18 \times 22 = 396 \text{ trips}$$

Step 2: Cost per trip

Total monthly cost / trips

$$= 27,420 / 396$$

$$= 69.2 \text{ k VND per trip (}\approx 69\text{k)}$$

Step 3: Price with 20% margin

Price = Cost $\times$ (1 + 20%)

$$= 69.2 \times 1.2$$

$$= 83.0 \text{ k VND per trip (}\approx 83\text{k)}$$

- Break-even: $\sim 69\text{k VND / trip}$
- Target price (20% margin): $\sim 83\text{k VND / trip}$

2. Baseline reference

Use 83k (from Q1) as the “neutral” reference price and 396 trips/month.

Elasticity formula (simplified):

$$\% \Delta Q = \text{elasticity} \times \% \Delta P$$

Option A - Price = 75k

$$\% \Delta P = (75 - 83) / 83$$

$$= -8 / 83$$

$$= -9.64\%$$

$$\% \Delta Q = -1.2 \times (-9.64\%)$$

$$= +11.57\%$$

$$\text{Trips/month} = 396 \times (1 + 0.1157)$$

$$= 396 \times 1.1157$$

$$= 442 \text{ trips/month (approx.)}$$

$$\text{Profit/month} = (75 \times 442) - 27,420$$

$$= 33,150 - 27,420$$

$$= 5,730 \text{ k VND}$$

Option B - Price = 90k

$$\% \Delta P = (90 - 83) / 83$$

$$= 7 / 83$$

$$= +8.43\%$$

$$\% \Delta Q = -1.2 \times (+8.43\%)$$

$$= -10.12\%$$

$$\text{Trips/month} = 396 \times (1 - 0.1012)$$

$$= 396 \times 0.8988$$

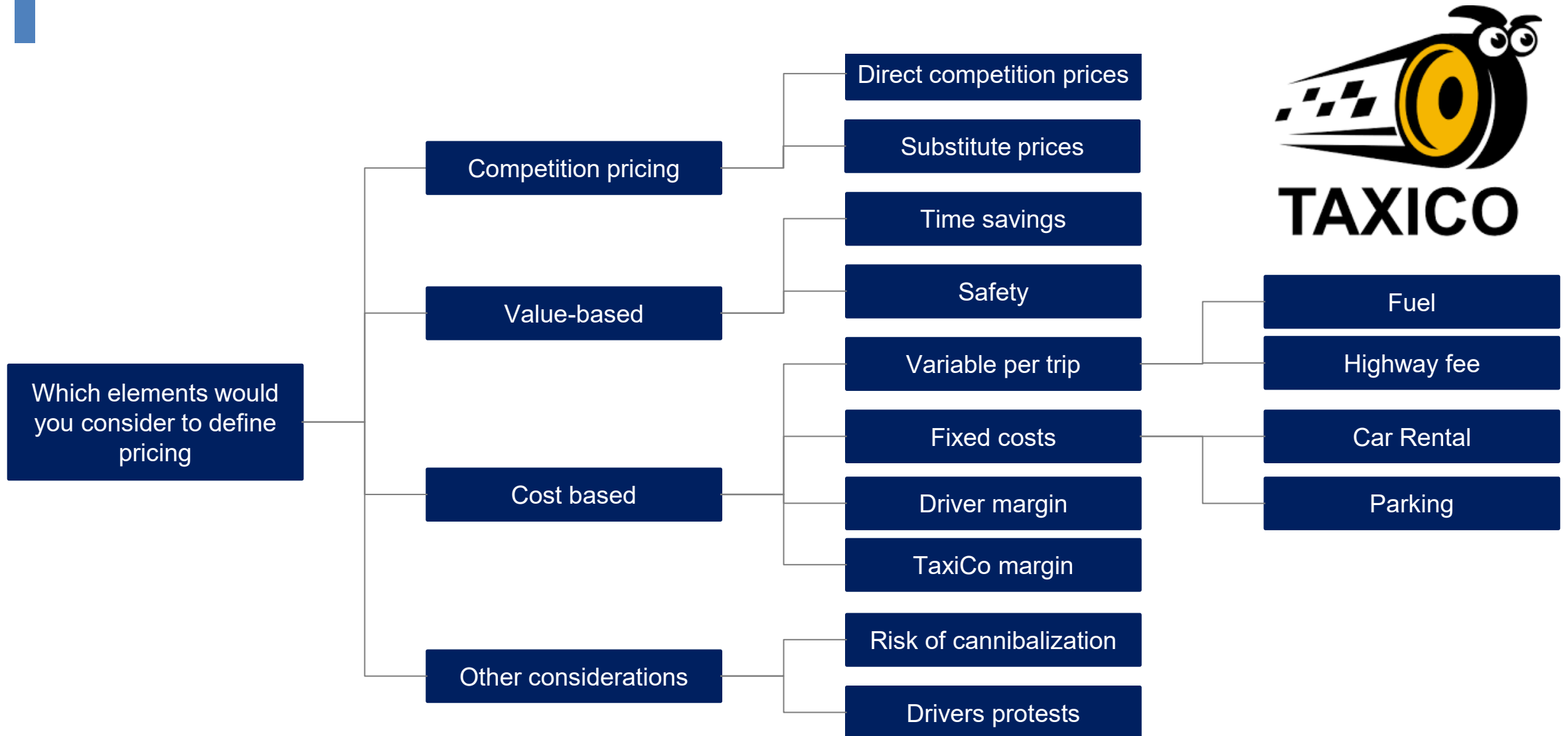
$$= 356 \text{ trips/month (approx.)}$$

$$\text{Profit/month} = (90 \times 356) - 27,420$$

$$= 32,040 - 27,420$$

$$= 4,620 \text{ k VND}$$

PRICING | CASE TAXICO MECE PRICING



PRICING | LEVERS TO REACH COMPETITIVE PRICE

83K VND is the cost calculated price. But 75K VND is the target competitive price

With proposed price point of 75K VND per trip, drivers are squeezed and cannot sustain a minimum salary. What are levers can you think about to make the equation work?



PRICING | THE PRICE IS ONE OF SUCCESS KEY



With proposed price point of 75K VND per trip, drivers are squeezed and cannot sustain a minimum salary. What are levers can you think about to make the equation work?

Reduce costs	Fuel costs	• Partnership with oil stations • Select only electric vehicles • Select only cars consuming less fuel • Reduce empty trips e.g., max distance to pick-up a client when empty
	Car rental	• Partnership with a car rental company • Partnership with a bank to favor car ownership (less costly post investment)
	Other driver costs	• Finance post paid phone plans
	TaxiCo margin	• Reduce TaxiCo margin on this product as it is a lower cost/ higher volume product
Increase revenues/ trip	Business model	• Change the business model of the new service to pay per person
	Driver subsidies	• Provide drivers with subsidies to compensate low earnings, without increasing price point for the riders

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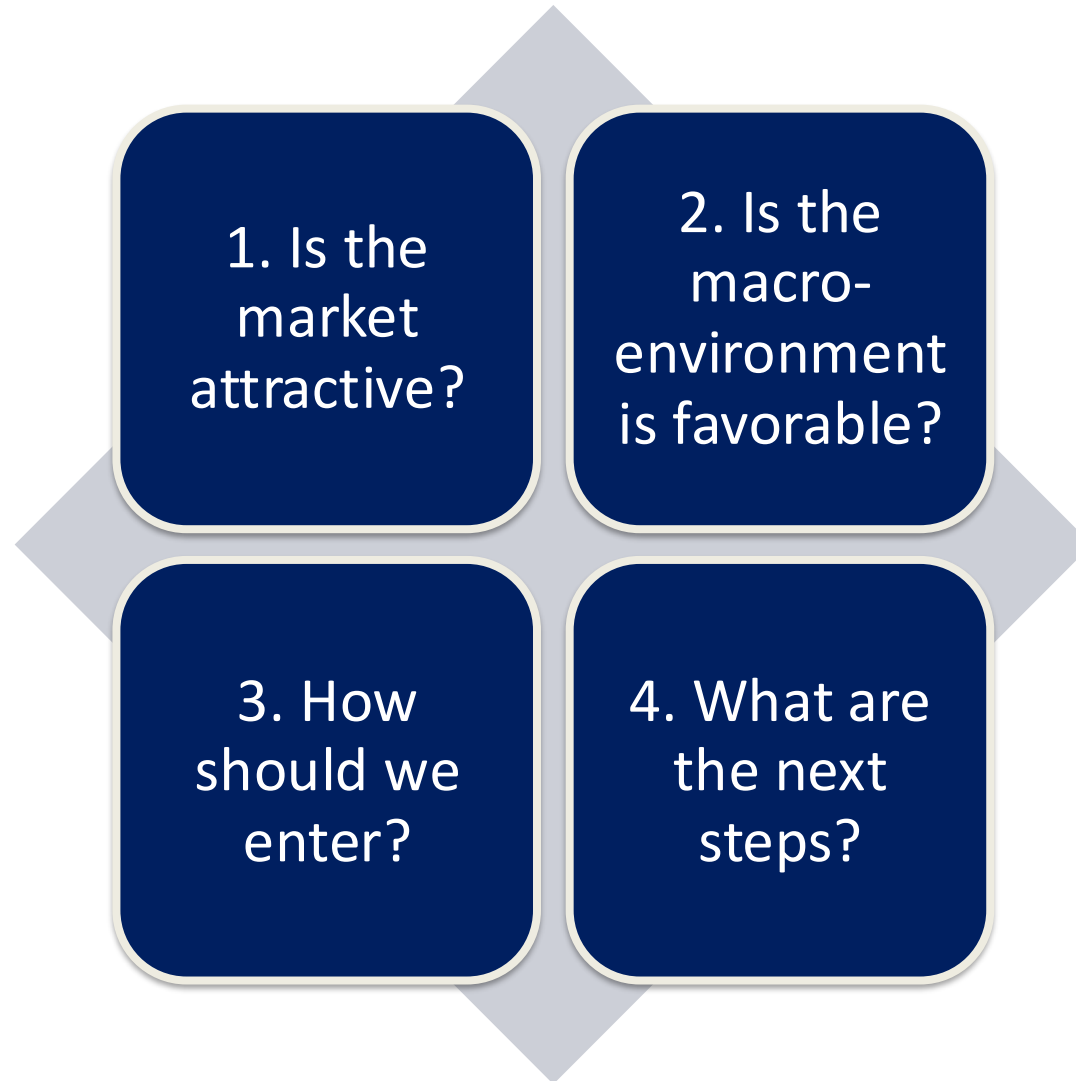
MARKET ENTRY | Business Case

You are the CEO of a furniture company that operates in France and a little in Belgium. How can you increase your revenue?

MARKET ENTRY | Types of market entry?

Type of entry	Description	Market entry logic	Key risks	Examples
Market Penetration	Sell more of existing products to current markets	No real entry: deepen presence in an existing market	Price wars, saturation, limited growth	Ryanair increasing load factor on existing routes
Market Development	Enter new geographic or customer markets with existing products	Market entry through geographic expansion	Cultural mismatch, regulatory barriers	Spotify expanding into new countries
Product Development	Launch new products to existing customers	Entry through innovation leveraging current base	Product-market fit risk, cannibalization	Apple launching new services to iPhone users
Unrelated Diversification	Enter a new market with a new product	Full market entry + new business model	Execution complexity, lack of synergies	Amazon entering cloud computing (AWS)

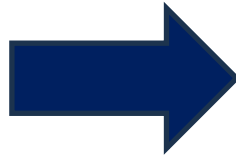
MARKET ENTRY | 4 Steps



MARKET ENTRY | Is the market attractive?

(1/2)

*Why this market?
why now?*



Market size (TAM / SAM / SOM)



Growth



Profitability



Regulation / barriers



Technology shifts

MARKET ENTRY | Is the market attractive?

(2/3)



Creation & context: Founded in **2006 in Sweden**, launched during the peak of music piracy (Napster, LimeWire era).

MARKET ENTRY | Is the market attractive?

(3/3)



Creation & context: Founded in **2006 in Sweden**, launched during the peak of music piracy (Napster, LimeWire era).

Market pain point: Consumers wanted easy, legal, affordable access to music; labels needed monetization alternatives.

Market size: Global music consumption massive and recurring; subscription model scalable internationally.

Growth potential: Shift from ownership (CDs, downloads) to streaming created a fast-growing market.

Economics: Structurally low margins due to royalties, but strong volume effects and high lifetime value.

Strategic attractiveness: Even with weak profitability, market was attractive due to network effects, data, and global scale potential.

MARKET ENTRY | Is the macro-environment favorable? – PESTEL (1/2)

Dimension	Key Questions (Market Entry)
Political	Political stability? Government support or opposition? Public subsidies or restrictions?
Economic	Market growth? Purchasing power? Price sensitivity? Cost and inflation pressure?
Social	Customer habits aligned? Cultural barriers? Strong societal trends supporting demand?
Technological	Disruption risk? Speed of innovation? Data or tech as entry barrier?
Environmental	Environmental constraints? Sustainability mandatory or differentiating? Reputational risk?
Legal	Regulation intensity? Labor law constraints? Data, competition, or compliance risks?

MARKET ENTRY | Is the macro-environment favorable? – PESTEL (2/2)

Uber

Creation & context: Founded in **2009** in **San Francisco (USA)**.

Dimension	Key Questions (Market Entry)
Political	Strong scrutiny from public authorities; frequent interventions by governments on mobility and employment rules.
Economic	High demand in dense urban areas, but low margins and sensitivity to fuel prices and labor costs.
Social	Private taxi was not affordable, reserved for really rich people.
Technological	Emergence of smartphones for users and drivers, new algorithmes for the matching.
Environmental	Shared mobility enable people not to have their own car inside the cities.
Legal	Change in the status (independant worker)

MARKET ENTRY | Can we win? - The role of differentiation - Positioning & Capabilities

Brand

- Brand awareness and trust
- Clear value proposition
- Emotional or symbolic differentiation



Product / UX

- Simplicity of use
- User journey friction
- Speed, reliability, design
- Clear superiority vs alternatives



Business model

- Gross margin per unit
- Customer acquisition cost (CAC)
- Lifetime value (LTV)
- Scalability of margins



Supply Chain / Operations

- Control over suppliers or partners
- Flexibility and scalability
- Speed to market
- Cost and reliability advantages



Talent / Skills

- Access to scarce skills
- Execution speed and learning ability
- Organizational culture
- Ability to scale teams internationally



Data & Technology

- Proprietary data
- Algorithms and personalization
- Automation and scalability



MARKET ENTRY | How we should enter the market? (1/2)

Capital intensity: How much upfront investment is acceptable?

Speed: How fast do we need to enter?

Control: Do we need full control over brand, pricing, data?

Risk: Regulatory, financial, operational exposure?

Local knowledge: Do we need local partners?

MARKET ENTRY | How we should enter the market? (2/2)

Entry Mode	Definition	When to Use	Pros	Cons
Greenfield / Organic	Build operations from scratch in the new market	Strong product–market fit; need for full control; scalable digital model	Full control; brand consistency; long-term value creation	Slow entry; high execution risk; capital intensive
Partnership / Alliance	Enter with a local partner sharing resources and risks	Strong regulatory, cultural, or distribution barriers; need local expertise	Faster entry; shared risk; access to local knowledge	Reduced control; governance complexity; misalignment risk
Licensing / Platform Entry	Grant rights to use technology, brand, or IP	IP-driven models; limited capital; desire for low operational exposure	Low risk; fast scaling; limited investment	Limited upside; weak control; dependency on partners
Acquisition	Acquire an existing local player to enter immediately	Time-to-market critical; fragmented market; access to customers or talent	Immediate scale; local market knowledge; faster learning curve	High capital required; integration risk; overpayment risk

MARKET ENTRY | The choice of the business model

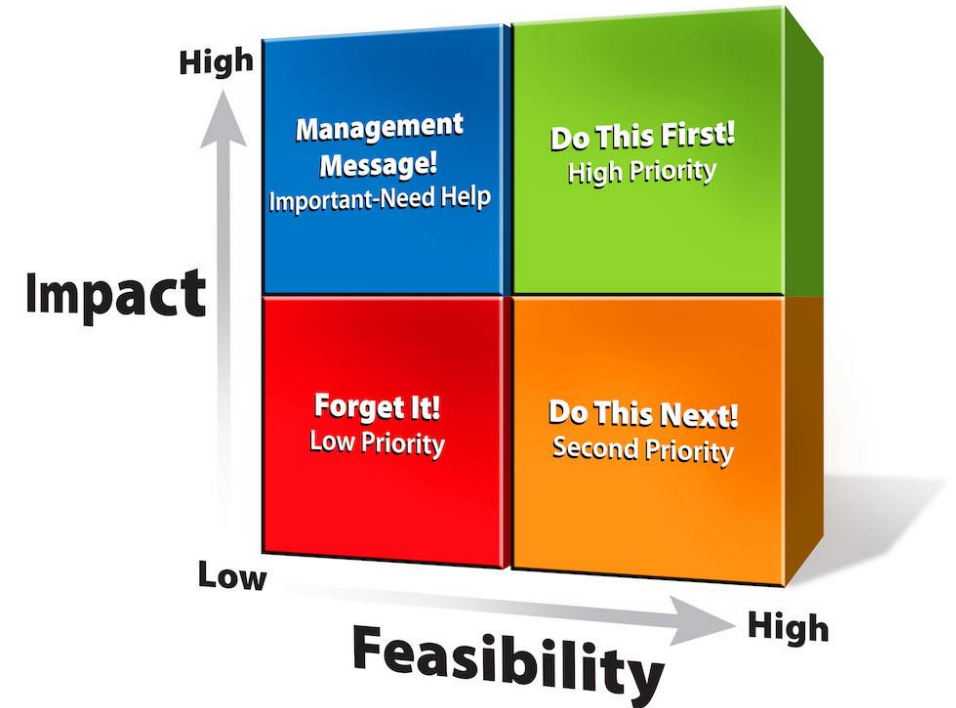
Business Model	How it works	Pricing logic	Key strengths	Key risks	Typical examples
Subscription	Customer pays a recurring fee (monthly / yearly)	Value-based pricing, low marginal cost, focus on retention	Predictable revenue, high LTV, data-rich	Churn sensitivity, need continuous value	
Commission (Marketplace)	Platform takes % on each transaction	Take-rate driven, indirect pricing power	Asset-light, scalable, network effects	Dependency on volume, disintermediation risk	
Usage-based (Pay-per-use)	Customer pays per unit consumed	Price linked to usage elasticity	Fair pricing, easy entry	Revenue volatility, forecasting complexity	 ChatGPT API - Token
Freemium	Free basic offer + paid premium features	Price discrimination via features	Fast adoption, low CAC	Low conversion rate, cost of free users	
Advertising	Users free, advertisers pay	Price driven by audience & data	Mass adoption, zero price for users	Cyclical, dependency on traffic	
Direct Sales (Product)	One-time product sale	Cost + margin, competitive pricing	Simple, immediate cash	No recurring revenue, price wars	
Hybrid	Combination of models	Segmented pricing	Diversification of revenue	Complexity, execution risk	

MARKET ENTRY | What are the next steps?

- **Impact:** Revenue potential, strategic value, learning speed
- **Feasibility:** Time, cost, internal capabilities, regulatory complexity



Impact/Feasibility Matrix



MARKET ENTRY | What are the next steps?

Phase 1 : Test & Learn (0–3 months)

- Pilot in a limited geography or segment
- Validate demand, pricing, and UX
- Measure early KPIs (CAC, conversion, churn)

Owner &
Governance

KPIs

Phase 2 : Scale (3–12 months)

- Expand geography or customer segments
- Strengthen operations and partnerships
- Optimize unit economics

Owner &
Governance

KPIs

Phase 3 : Optimize & Defend (12+ months)

- Improve margins
- Build entry barriers (brand, data, network effects)
- Prepare response to competitors

Owner &
Governance

KPIs